

strategy in situations where the basic business is terrible. We would never have heard of Warren Buffett or his Berkshire Hathaway if Buffett had stuck to textiles. The same might be said of the Tisches, who started out with a chain of movie theaters (Loew's) and used the proceeds to buy a tobacco company (Lorillard), which in turn helped them acquire an insurance company (CNA), which led to their taking a huge position in CBS. The trick is that you have to know how to make the right acquisitions and then manage them successfully.

Consider the story of Melville and Genesco, two shoe manufacturers—one that successfully diversified and one that diworseified (see charts). Thirty years ago Melville was manufacturing men's shoes almost exclusively for its own family of shoe stores, Thom McAn. Sales grew as the company began to lease shoe departments in other stores, most notably the chain of K mart stores. When K mart began its great expansion in 1962, Melville's profits exploded. After years of experience in discount shoe retailing, the company launched into a series of acquisitions, always establishing the success of one before proceeding with another: they purchased CVS, a discount drugstore operation, in 1969; Marshall's, a discount apparel chain, in 1976; and Kay-Bee Toys in 1981. During the same period, Melville reduced the number of its shoe manufacturing plants from twenty-two in 1965 to just one in 1982. Slowly, but efficiently, a shoe manufacturer had transformed itself into a diversified retailer.

Unlike Melville, Genesco went off in a frenzy. Starting in 1956, it acquired Bonwit Teller, Henri Bendel, Tiffany, and Kress (variety stores), then got into security consulting, men's and women's jewelry, knitting materials, textiles, blue jeans, and numerous other forms of retailing and wholesaling—while still trying to manufacture shoes. In the seventeen-year period between 1956 and 1973, Genesco made 150 acquisitions. These purchases greatly increased the company's sales, so Genesco got bigger on paper, but its fundamentals were deteriorating.